PLAYBOOK

PROJECT TITLE: Decoding Customer Value:

A SQL-Driven Retention Strategy

Submitted By: Shreya Sahoo
College: IIT Guwahati
Roll Number: 240104094
Tools Used: Python | SQL | Power BI Submission
Date: 25.05.2026

1. Strategic Objective

The objective of this playbook is to improve long-term customer profitability by reducing excessive promotional dependency, strengthening customer loyalty, and prioritizing high-value customer segments with sustainable purchasing behavior.

The analysis revealed that while promotional campaigns increase short-term transaction volume, not all customer groups contribute equally to long-term business value. Therefore, the company should transition from promotion-led growth toward retention-led growth.

---

2. Customer Segmentation Strategy

The analysis identified three primary customer groups:

- High Value Organic Customers
- Regular Customers
- Discount-Driven Customers

Among these segments, High Value Organic customers demonstrated:

- higher average spending
- stronger loyalty behavior
- lower discount dependency
- more stable purchasing patterns

These customers represent the brand's most profitable and sustainable customer base.

---

3. Promo Sunset Plan

Objective

Reduce excessive discount dependency while protecting customer retention and profit margins.

Key Findings

The analysis showed that Discount-Driven customers:

- relied heavily on promotions
- demonstrated weaker organic loyalty behavior
- contributed lower long-term customer value

In contrast, High Value Organic customers continued purchasing without requiring aggressive discounting.

This indicates that continuous blanket promotions may be unnecessarily reducing profitability.

Recommended Rollout Plan

Timeline	Action
Month 1	Reduce blanket promotions by 20%
Month 2	Introduce targeted loyalty incentives
Month 3	Restrict deep discounts to seasonal campaigns
Month 4	Shift toward retention-focused engagement

Risk Mitigation Strategy

To minimize customer churn during promo reduction:

• Gradually reduce discount intensity rather than abruptly removing promotions
• Use targeted retention campaigns for at-risk customers
• Increase personalization and loyalty rewards
• Continuously monitor repeat purchase behavior and retention metrics

---

4. Product Category Strategy

The category-level analysis revealed significant differences in loyalty behavior, spending patterns, and promotional dependency across product categories.

Key Insights

• Categories such as Jewelry, Coats, Scarves, and Blouses demonstrated stronger repeat purchase behavior and higher retention potential.
• Categories including T-shirts ,Boots, Dress and Shoes generated comparatively higher average customer spending and revenue contribution.
• Categories such as Hats, Sneakers, Coats and Sweater exhibited higher promotional dependency and stronger price sensitivity.

Strategic Recommendations

• Prioritize high-retention categories in loyalty campaigns
• Reduce unnecessary discounting in organically strong categories
• Use promotion-sensitive categories selectively for acquisition campaigns
• Develop personalized recommendations based on customer-category affinity

---

5. Seasonal Revenue Strategy

The seasonal analysis indicated relatively stable revenue generation throughout the year, with Fall generating the highest overall revenue and Summer demonstrating comparatively lower performance.

Strategic Recommendations

- Increase inventory preparation and marketing efforts during Fall
- Launch targeted campaigns during weaker seasonal periods
- Align promotions with seasonal demand trends rather than continuous discounting

---

6. Shipping & Fulfilment Strategy

Customers selecting premium delivery methods such as Express and 2-Day Shipping demonstrated slightly higher average spending behavior compared to standard shipping users.

Strategic Recommendations

- Offer premium shipping incentives to high-value customers
- Use shipping preferences as indicators of premium customer behavior
- Bundle loyalty rewards with faster fulfilment benefits

---

7. Geographic Opportunity Strategy

The geographic analysis revealed meaningful regional differences in purchasing behavior and promotional dependency across the United States.
Several regions demonstrated stronger organic demand with lower discount reliance, while other regions appeared more promotion-sensitive.

Strategic Recommendations

High Organic Demand Regions

- Reduce unnecessary blanket discounting
- Increase loyalty-focused engagement campaigns
- Prioritize customer lifetime value growth

Promotion-Sensitive Regions

- Use targeted acquisition campaigns selectively
- Gradually transition customers toward loyalty-driven engagement
- Optimize marketing spend based on regional customer quality

---

8. Ideal Customer Profile

The analysis identified the brand’s ideal customer profile as customers who demonstrate:

- High average spending behavior

• Strong repeat purchase frequency
• Lower promotional dependency
• Higher loyalty scores
• Consistent purchasing behavior across seasons
• Preference for premium or faster shipping methods

These customers contribute disproportionately to long-term profitability while maintaining healthier operating margins.

---

9. Key Performance Indicators (KPIs)

The following metrics should be continuously monitored:

• Customer Lifetime Value (CLV)
• Repeat Purchase Rate
• Promotion Dependency Ratio
• Revenue per Customer
• Average Order Value
• Customer Churn Rate
• Loyalty Score Trends

---

10. Final Recommendation

The company should transition from aggressive promotion-led growth toward a more sustainable retention-led strategy centered around customer loyalty, personalization, and long-term profitability.

By prioritizing High Value Organic customers, optimizing regional marketing strategies, reducing unnecessary discount dependency, and strengthening loyalty-focused engagement, the business can improve customer retention, increase operational efficiency, and build stronger long-term revenue growth.